zones – the North occupied by Soviet forces and the South by the Americans. As negotiations for unification failed, two separate governments were formed. The Democratic People's Republic of Korea was established in the north on 9 September 1948, with Kim Il-sung as Premier.

Until the 1960s, North Korea's economic growth was higher than South Korea's, and North Korean per capita GDP was equal to that of its southern neighbour until as late as 1976. The North Korean Won was pegged to the US$ at the rate of Won 2.16=US$ 1. The rate was reportedly set since 16 February (i.e., 2.16) was the Premier's son Kim Jong-il's birthday! By the 1980s, the economy had begun to stagnate and almost completely collapsed when aid from the Soviet Union stopped in 1991. In 1994, Kim Il-sung died of a heart attack and his son Kim Jong-il took over.

In July and August 1995, floods described as being 'of biblical proportions' ravaged the country, causing not only the destruction of crop lands and harvests, but also the loss of emergency grain reserves, as these were stored underground. According to the United Nations, the floods of 1995 destroyed around 1.5 million tons of grain reserves. There were further major floods in 1996, and a drought in 1997. In the resultant famine (known as the March of Suffering), approximately 3.5 million North Koreans died from hunger and starvation, out of a total population of 22 million.

After the famine, informal private markets sprung up across the country enabling an increasing number of North Koreans to feed themselves and earn a basic living by trading. The UN estimated that about half the calories consumed in North Korea in 2009 came from food purchased at private markets.

On 30 November 2009, Kim Jong-il announced a demonetization of the Won, replacing the ₩1,000 notes with ₩10 notes. The announcement was made to foreign embassies and later carried via a wire-based radio service only available within North Korea. The government announced that an individual could exchange only up to